Q3 2024

Custom Managed Portfolios

Manning & Napier

US Equity

Quick facts

Asset class:
North American Large Cap

Management style:
Blend[1]

Number of holdings:
42

Sub-advisor:
Manning & Napier

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
July 1, 2000

What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	4.51%	17.87%	32.07%	10.60%	16.07%	14.87%	9.80%
Benchmark[5]	4.55%	25.09%	36.15%	14.32%	16.33%	15.49%	7.25%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	25.43%	-15.69%	27.16%	25.95%	27.38%	5.35%	17.69%
Benchmark[5]	22.80%	-12.15%	27.61%	15.83%	24.84%	4.23%	13.83%

Standard deviation	8.50%	Sortino ratio	1.46	Downside capture	105%
Sharpe ratio	0.97	Beta (Equity)	0.92	Upside capture	83%

Largest holdings

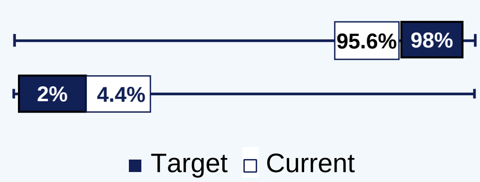
1.	AMAZON INC	5.6%	**6.**	NVIDIA CORP	3.3%
2.	META PLATFORMS INC	5.4%	**7.**	SERVICENOW INC	3.0%
3.	MICROSOFT CORP	5.1%	**8.**	VISA INC	3.0%
4.	ALPHABET INC CL A	4.7%	**9.**	ELEC ARTS INC	2.9%
5.	MASTERCARD	4.0%	**10.**	COPART INC	2.9%

Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
0.86%	39.26	25.63	8.46	7.34	$774.58 B	59%

Target allocations

Asset class	Min	Max
US equities	90%	100%
Cash & cash equivalents	0%	10%



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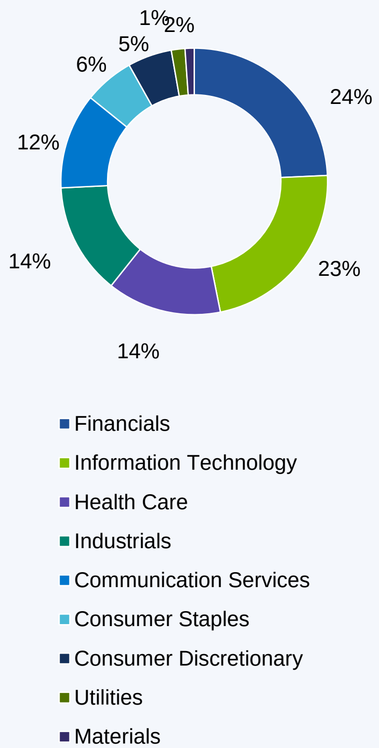
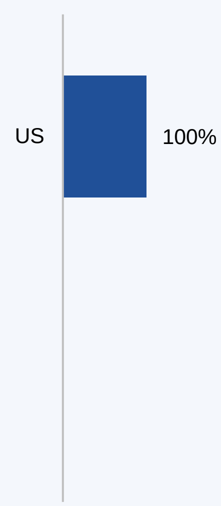
Sector breakdown



Geographic allocation



Quarterly commentary

Manning & Napier Fund, Inc. Equity Series

Financial markets continued their push higher as they largely shrugged off a gradually slowing economy with the help of the Federal Reserve officially pivoting to rate cuts and the expectation for those cuts to continue. We saw the beginnings of a rotation and broadening out of the equity market as the dominance of mega-capitalization tech companies that has defined the past year and a half waned and value stocks, smaller companies, and non-U.S. markets all outperformed this quarter.

The strategy posted positive absolute returns for the quarter and also slightly outperformed on a relative basis. While individual stock selection was a net negative, sector positioning was positive enough to drive the modest outperformance. Most notably, no exposure to Energy and an underweight to Information Technology, which were the two biggest laggards for the quarter, contributed to relative returns. Similarly, overweight allocations to the Financials and Industrials sectors through a variety of diverse industries also had a positive impact. On the opposite side, having no exposure to the Real Estate sector, an underweight to Apple, and a position in Dollar Tree were all detractors from returns.

Despite risks appearing broadly balanced to the upside and downside, we expect a degree of volatility in markets moving forward. While the economy's resilience through a period of disinflation and interest rate normalization has likely resulted in lower odds of an imminent recessionary outcome, we continue to believe that risks to both the economy and markets remain in place with an election on the horizon, a cooling job market, rising geopolitical conflict around the world, and elevated security valuations. Thus, we have positioned the portfolio with a generally defensive tilt through a primary focus on less economically sensitive businesses and those that can benefit from long-term secular themes like market- dominant technology companies, non-bank financials, and high-quality health care companies. We have also been selectively identifying pockets of opportunity in more cyclical industries such as railroads and credit reporting agencies.

In terms of specific portfolio changes during the quarter, we added a position in Nasdaq and increased exposure to TransUnion. In addition to its exchange business, Nasdaq provides other elements of market infrastructure like data and software to financial entities. We believe there is currently a buying opportunity with the stock trading at an attractive level with the opportunity for earnings to reaccelerate.

TransUnion, one of the three major consumer credit bureaus, is well-positioned in our eyes to benefit from a recovery in mortgage originations and bank loans that we believe is just beginning. Another portfolio change of note was the sale of Micron, a market-leading manufacturer of memory semiconductors. The portfolio benefited meaningfully from the position over the prior year and a half but expectations got too exuberant relative to business fundamentals and we view the risk/reward as unfavorable from here so we exited the position.

Investment manager overview

Manning & Napier Advisors, LLC (Manning & Napier) was established in 1970 and is based in Fairport, New York, with offices and in Dublin, Ohio and St. Petersburg, Florida. Manning & Napier is a Delaware Limited Liability Company. A majority of the company is beneficially employee-owned, while 17.1% is currently publicly owned. Employee shareholders are a blend of youth and experience which provides for continuity going forward. William Manning, Co-Founder of Manning & Napier, is the Chief Executive Officer. An Operating Committee made up of senior executives averaging more than 20 years with Manning & Napier is responsible for the day-to-day operations of the Firm. In total, the Firm currently has in excess of 400 employees.

Investment philosophy

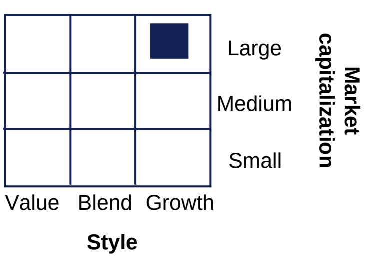
Manning & Napier's equity investment approach is based on a combination of qualitative company selection strategies and a strict pricing discipline. Implementation of this approach involves an interaction between top-down, macroeconomic analysis, and bottom-up industry analysis and securities selection.

Manning & Napier's in-house team of equity analysts relies upon three broad equity strategies: Strategic Profile, Hurdle Rate, and Bankable Deal. The Strategic Profile strategy focuses on companies positioned for strong future growth but whose valuations do not reflect their potential. This strategy brings together the strategic positioning of the company, its growth prospects, and the appropriate price to pay for those prospects. The Hurdle Rate strategy looks at companies that are in depressed sectors, but are strong enough to survive the hard times, and are likely to lead the rebound of their industry when supply/demand conditions improve. The Bankable Deal strategy takes an in-depth look at the assets and cash flow of a company to reveal value that is not reflected in the stock's price. This strategy focuses on under-appreciated, often under-utilized, assets on which the market is placing little or no value and also looks for possible catalysts to highlight or unlock this value.

Investment process and risk controls

The Firm's analysts review opportunities in various market sectors and in looking for a strategy fit, deploy the proprietary strategies mentioned above to select equities. Once a security has been identified as a portfolio candidate, a buy price is set. This pricing discipline sets stringent guidelines for analysts to follow and the dual focus on investment strategies and valuation has been effective at identifying attractive investment opportunities while forcing them to avoid overvalued situations. Once a stock is purchased, it is closely monitored and sold once the pre-determined sale price (i.e., fair market value) is met, the selection no longer corresponds to the strategy fit it was chosen under, or they determine there is a more compelling idea at a better value. However, if the strategy fit remains intact, Manning & Napier may consider taking advantage of a decline in the security's price and buy more of the security.

.Equity style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

[1] Blend – Combination of growth and value investment style

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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[5] The benchmark is S&P 500 TR Index (CAD)

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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